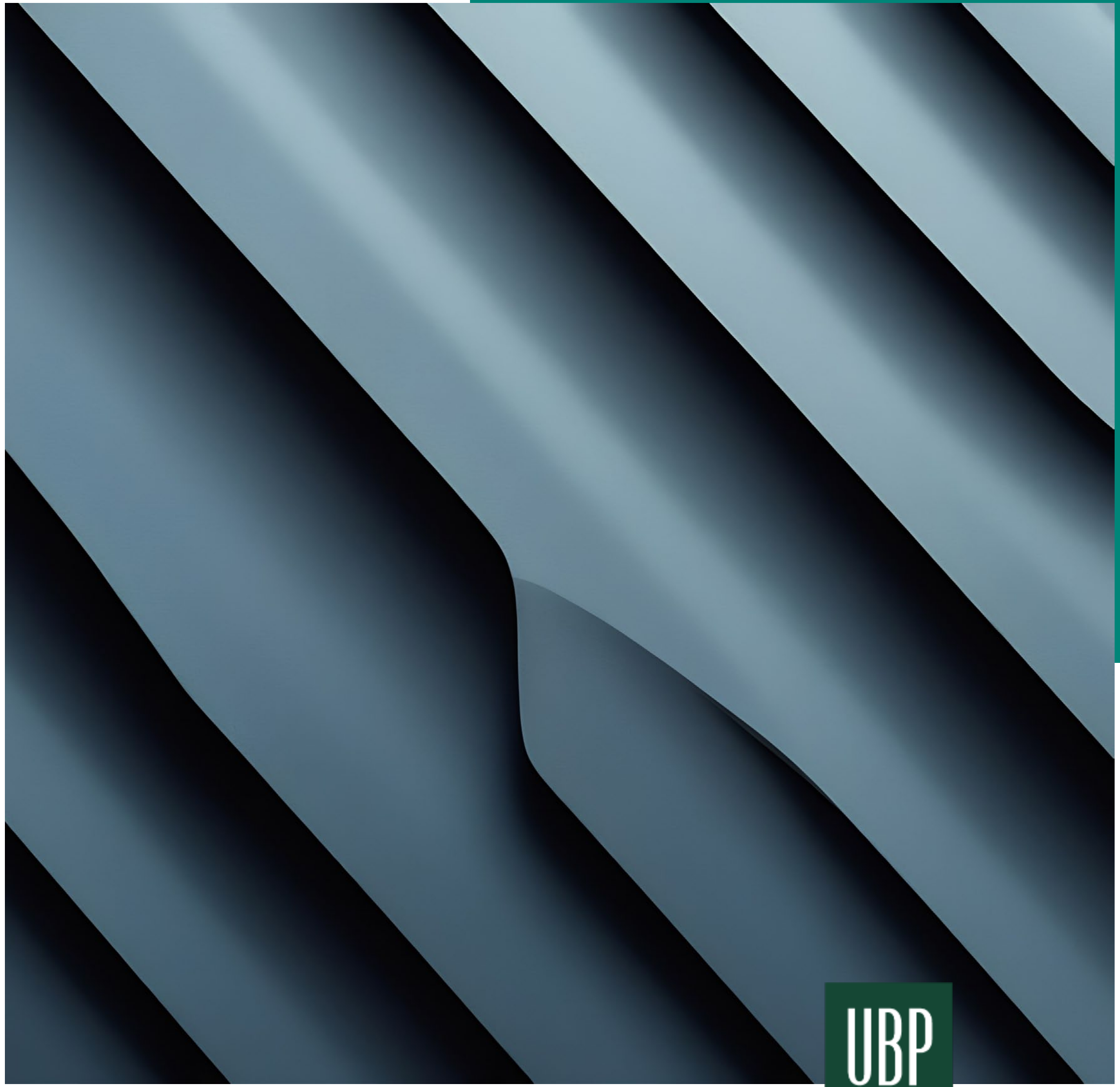
# UBP
# Currency Views

April 2026



The opinions expressed in this document are as at 9 April 2026 and are subject to change without notice.

UNION BANCAIRE PRIVÉE

# Currency convictions

| | Downside | Rangebound | Upside | | |
|---|---|---|---|---|---|
| EUR/USD | | ■ | | 12-MONTH RANGE | 1.16 – 1.20 |
| USD/JPY | ■ | | | 12-MONTH RANGE | 150 - 158 |
| GBP/USD | | ■ | | 12-MONTH RANGE | 1.32 – 1.33 |
| USD/CHF | ■ | | | 12-MONTH RANGE | 0.74 – 0.78 |
| USD/CNY | ■ | | | 12-MONTH RANGE | 6.65 – 6.80 |

Downside | Rangebound | Upside | Previous view ● (no dot means no change)

# FX implications of higher-for-longer oil prices

## Terms of trade (ToT) shock to lead to a deterioration in the eurozone's trade balance

### USD price action has been underwhelming…

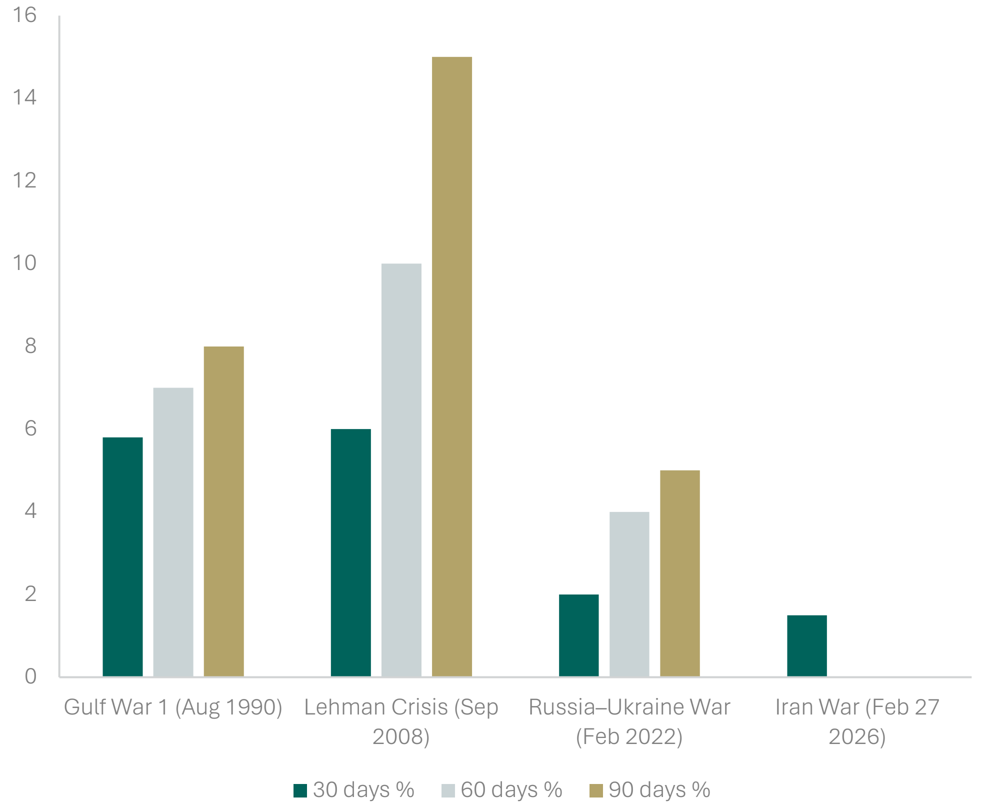
Since the outbreak of the conflict with Iran, the US Dollar Index has risen by around 3%. This movement is typical of crisis like price action. In the current oil price shock, it could be argued that the USD should have appreciated to a greater extent, given the terms of trade deterioration for the likes of the EUR and JPY, and the firming in front-end US two-year US yields. USD price action so far has been subdued compared to previous financial market crises (See chart), which likely reflects an initial expectation of a short conflict.

### Ceasefire is likely to result in a downgrade in ECB rate expectations

There are several implications of a higher-for-longer oil outlook. Investors are now facing a medium-term ToT shock for oil importers, which should weigh on the likes of the EUR and JPY. Second, the prospect of higher oil prices for a prolonged period means that oil importers are likely to experience a deterioration in their trade balances, reflecting inelastic demand on oil imports. While a 2022-like deterioration in trade balances is not anticipated, assuming an average oil price of just above USD 100 per barrel for the remainder of 2026, it could weigh on both the EUR and JPY.

The recent ceasefire announcement is likely to result in markets pricing out interest rate hikes for the likes of the EUR and GBP. The upshot of this is that rate spreads are set to weigh on the likes of the EUR, meaning that a rapid EUR/USD rebound to levels of 1.20 is unlikely.

DXY INDEX RETURNS HAVE BEEN MODEST, %




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

# US-Iran ceasefire to lead to a decline in central bank rate pricing

## The oil price rise is likely to materially reduce the eurozone's current account and trade balance

### Higher for longer is now our base case scenario

Our oil forecasts have been raised towards an expectation of USD 100 per barrels over the remainder of 2026, expecting an average of USD 120 per barrel in Q2, with subsequent modest declines towards USD 100 per barrel by Q4 2026. The large rise in the oil price means that the EUR's ToT decline is likely to morph into a deterioration in the eurozone's trade balance.

Assuming an average oil price of around USD 100 per barrel, and relatively inelastic demand of around 8.7 million barrels per day, this should result in a decline in the eurozone's trade balance by around USD 100 billion, which is equivalent to 0.6% – 0.8% of eurozone GDP. Such a decline would be consistent with a EUR/USD slide of between 2% - 4%, which is broadly in line with price action since the beginning of March.

### Not a 2022 scenario

In 2022, EUR/USD fell from levels of around 1.15 to lows of around 0.95. The US Dollar Index rose by around 20% during the year. Unlike 2022, the US Federal Reserve is not raising rates, meaning that interest rate spreads are unlikely to move against the EUR dramatically. Additionally, the eurozone's trade and current account balance collapsed during 2022, which dragged the EUR lower. A modest decline in the eurozone's trade balance by around USD 100 billion is likely, though it should remain in a surplus, unlike the deficit in 2022.

The ceasefire announcement means that markets are likely to price out aggressive ECB rate hikes and markets have already reduced European Central Bank (ECB) rate expectations to expect only 40 basis points (bps) in ECB rate hikes by year-end, down from an expectation of 75 bps in rate hikes at the beginning of April. There is scope for a further compression in front-end rate expectations, meaning that two-year spreads are unlikely to favour further EUR/USD upside in the near term.

### JPY should be challenged…

The higher-for-longer oil price scenario poses significant problems for the Bank of Japan (BoJ). Higher oil prices have already resulted in a rise in inflation expectations, which has in turn pushed Japanese Government Bond (JGB) yields towards higher levels. Weaker JPY exchange rates are likely to exacerbate imported inflation effects, meaning that the BoJ faces a choice of either raising its deposit rate or intervening in the FX market.

The overnight swap index (OIS) market has priced in two 25 bp rate hikes in the coming year, which would bring the deposit rate to 1.25%. This may be the upper end of likely outcomes, and this should have only a limited effect on JPY exchange rates, given that it is already priced in. Consequently, a higher for longer oil price scenario should weigh on JPY through a deterioration in Japan's trade balance, and given the worries regarding imported inflation effects, investors should anticipate potential BoJ / Ministry of Finance (MoF) interventions.

Source(s): UBP, Bloomberg Professional L.P., as at April 2026

# USD: Stable profile in the near term

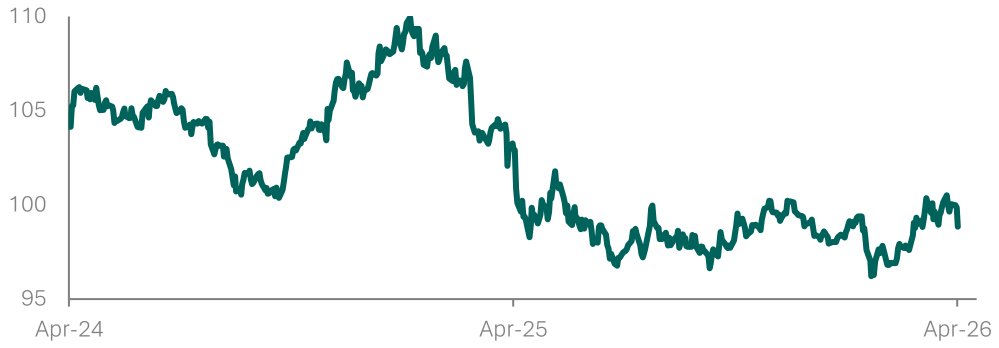
## Ceasefire agreement is unlikely to weaken the USD dramatically

### The month in review

In March, the US Dollar Index rose to levels of above 100. The up move reflected a flight to safety, induced by the conflict with Iran. Higher oil prices resulted in a firming in inflation expectations. The US Federal Reserve meeting left rates unchanged at 3.75% - however, it reduced rate cut expectations, with its dot plot showing only one 25 bp rate cut projected this year. US labour market data were mixed, with the February Non-Farm Payrolls (NFP) print coming in at -92’000, though the March data showed a solid improvement.

The USD’s modest appreciation was entirely consistent with typical price action during oil price shocks, reflecting positive changes in its terms of trade (ToT).

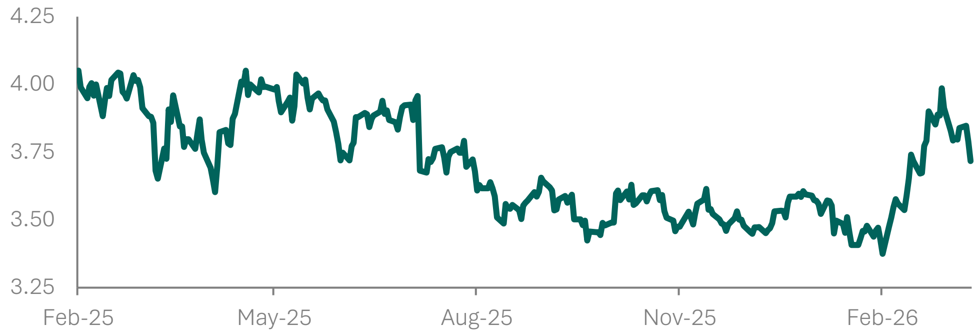
DOLLAR INDEX STABILISED IN MARCH




### The month ahead

Coming into April, a broadly stable USD exchange rates are anticipated. The recently announced ceasefire has resulted in a modest weakening in the greenback, reflecting positioning shifts as investors pivot towards a less bearish asset allocation stance. Investors had rapidly increased their long USD positions in recent weeks, giving some scope for positioning reduction and subsequent USD weakness. Severe weakness for the USD is not expected, because the other major central banks (ECB, Bank of England (BoE) etc.) are likely to see a rapid reduction in rate hike expectations, meaning that rate spreads are unlikely to move against the greenback. The main event risks will be the publication of US inflation data, and Q1 corporate earnings data.

US 2-YEAR YIELDS HAVE RISEN. %




Source(s): UBP, Bloomberg Professional L.P., ICE, as at April 2026

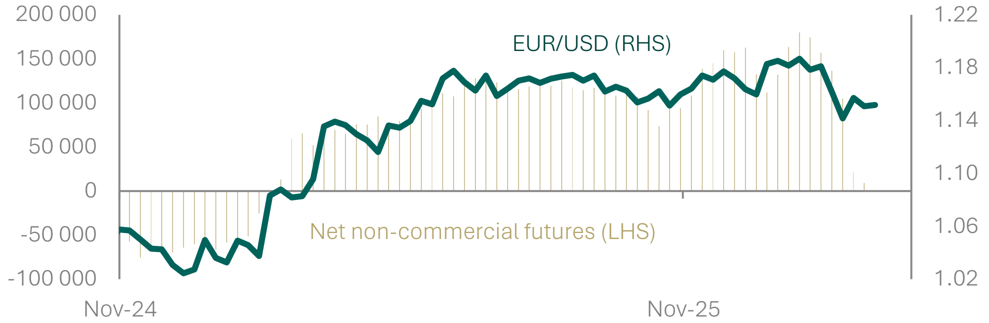
# EUR: Weaker trade balance is to be expected

## Markets should move to price out ECB rate hikes

### The month in review

In March, EUR/USD traded lower from levels of around 1.17 to lows of around 1.14. The decline reflected broad USD appreciation and a deterioration in the eurozone's ToT position. The European Central Bank (ECB) left its deposit rate unchanged at 2.0% - however, it raised its 2026 inflation forecast to 2.6%. Markets moved to price in three 25 bp rate hikes in 2026. ECB President Lagarde indicated that the ECB was ready to act, and markets have moved to price in an April deposit rate hike with a 25% probability. Eurozone March inflation data printed at 2.5% y/y – well above the 1.9% y/y February print – reflecting energy price impacts.

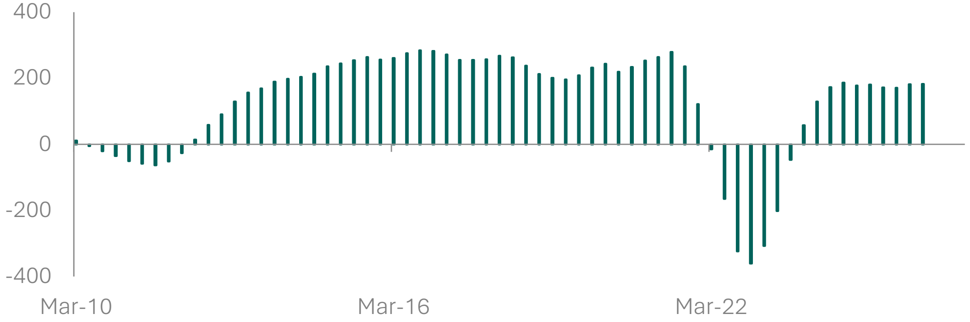
INVESTORS REDUCED LONG EUR POSITIONS




### The month ahead

Coming into April, EUR/USD is likely to struggle to rise materially, despite the US-Iran ceasefire announcement. Elevated oil prices should result in a deterioration in the eurozone's trade and current account surplus over the coming months, which should limit the EUR's appreciation potential. The ceasefire announcement is also likely to result in a reversal of ECB rate hike expectations, meaning that two-year rate spreads are unlikely to favour the EUR in the near term. Investors have curtailed their long EUR positions significantly since the start of the conflict, which should limit the potential for aggressive downside. The main event risk for the EUR will be the ECB's 30 April meeting.

DOWNSIDE RISKS FOR EUROZONE TRADE BALANCE, USD BLN




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

# JPY: The BoJ faces difficult decisions

## Oil price rises make the BoJ's task even harder

### The month in review

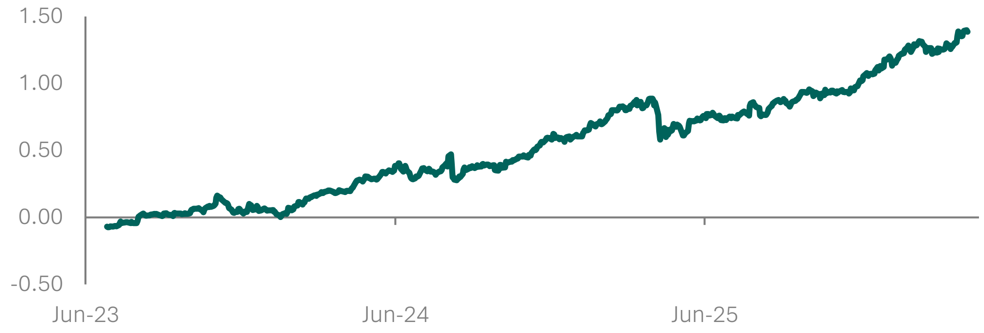
In March, USD/JPY rose to levels of just above 160. The up move reflected USD appreciation and idiosyncratic JPY weakness, due to the impact of higher oil prices. Japanese inflation data for February printed at 1.3% y/y (headline) and 2.5% y/y (core). The market response was muted, given the ongoing conflict in the Middle East, which should result in higher Japanese headline inflation prints in the coming months. The BoJ's March meeting was a non-event. However, the subsequent publication of the Monetary Policy Committee (MPC) minutes revealed that deposit rate hikes in the coming months can be expected. OIS markets have priced in around 50 bps in deposit rate hikes over the coming two years. BoJ officials raised the prospect of conducting FX interventions in the near term, designed to stem JPY depreciation pressures.

### The month ahead

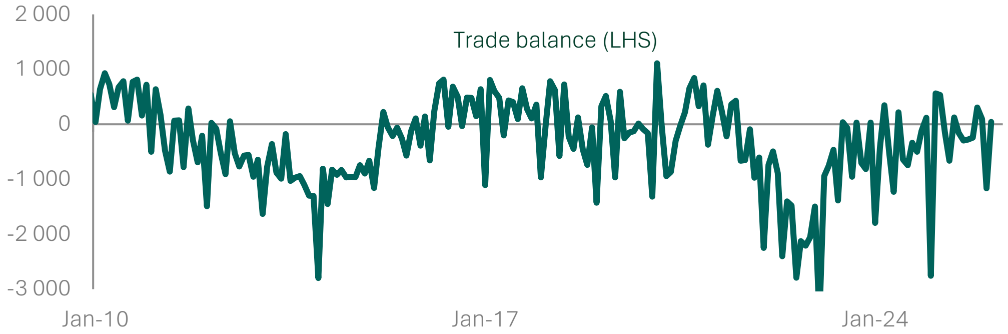
Coming into April, the BoJ could conduct an FX intervention, selling USD FX reserves to buy JPY. This is likely to result in a stronger JPY exchange rate in the near term. The key event risk for JPY would be the 30 April BoJ MPC meeting. OIS markets give around a 70% probability for a 25 bp deposit rate hike, which is reasonable considering the possibility of pass-through inflation effects from JPY and higher oil prices.

The USD/JPY continues to trade well above levels that are implied by two-year rate spreads. However, the prospect of higher oil prices and a subsequent deterioration in Japan's trade balance means that sustained idiosyncratic JPY appreciation is likely to remain elusive.

2-YEAR JGBS YIELDS CONTINUE TO RISE, %




RISK OF WIDER TRADE DEFICIT, JPY, BLN




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

12-MONTH RANGE 6.65 – 6.80

# CNY: Resumption of CNY appreciation trend

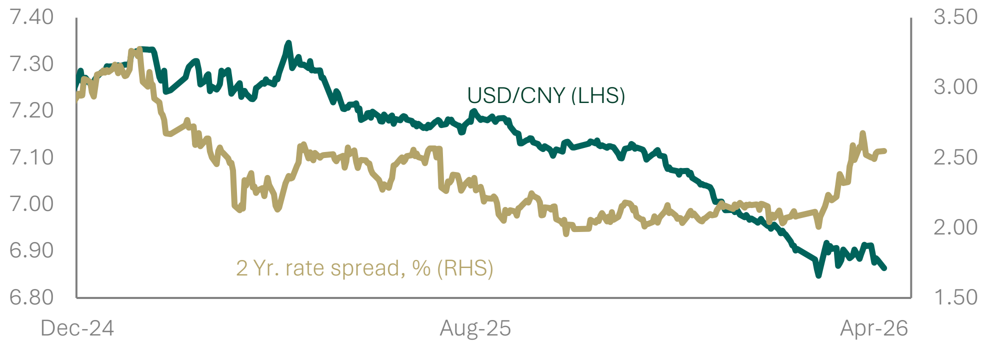
## Chinese bonds performed in March

### The month in review

In March, USD/CNY rose to levels of around 6.62. The up move reflected USD appreciation. Chinese government bonds performed, highlighting the attractiveness of CNY denominated assets. Chinese policy makers endorsed the next five-year plan, including a lower GDP growth target than before (4.5% - 5%). Most of the details had been leaked ahead of the meeting, meaning that markets did not show a large change on the release of the news.

CNY did not illustrate severe weakening pressures, despite the rise in the oil price, reflecting China's ample supply backdrop.

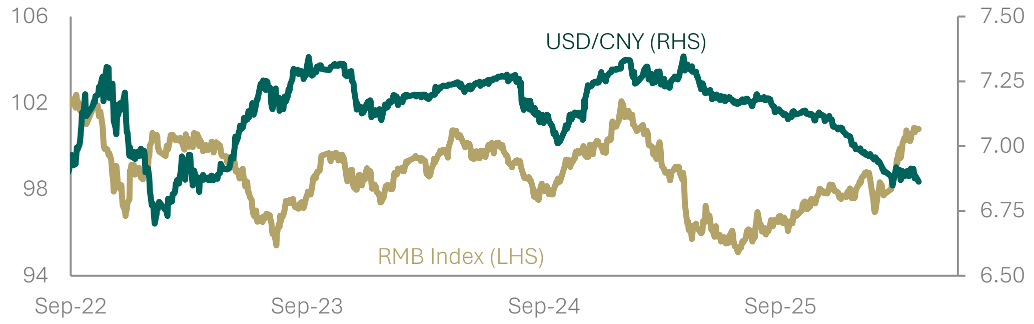
CNY APPRECIATED DESPITE RATE SPREAD MOVES, %




### The month ahead

Coming into April, USD/CNY should resume its recent downward momentum. Any clarity on the conflict in the Middle East should be constructive for CNY, and markets should resume the theme of buying into CNY denominated investments with an increasingly constructive policy and economic backdrop. Asian FX should rally more broadly given the ceasefire agreement, and CNY should benefit from this trend. There are few important data releases, and non-standard measures designed to weaken CNY appreciation pressure are not anticipated.

CNY CONTINUES TO RISE IN REAL TERMS




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

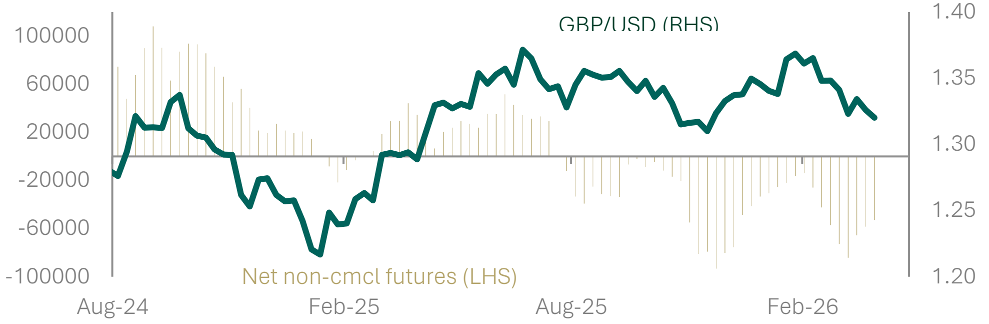
# GBP/USD: Markets move to price in BoE rate hikes

## UK inflation should rise on higher energy prices

### The month in review

In March, GBP/USD traded in a tight range, at levels of between 1.32 and 1.3450. The Bank of England (BoE) maintained its base rate at 3.75%, however, it raised its inflation projections to incorporate recent energy price rises, assuming a potential rise to levels of between 3.00% -3.50% year-on-year in the coming months. OIS markets moved to price in just under 100 bps in potential BoE rate hikes at one point, though this has now receded to price in just over 25 bps in potential rate hikes. Higher BoE rate expectations did not benefit GBP, given increased rate hike expectations elsewhere (ECB etc.). UK inflation data for March printed above expectations at 3.20% y/y (core).

INVESTORS HOLD A SHORT GBP POSITION

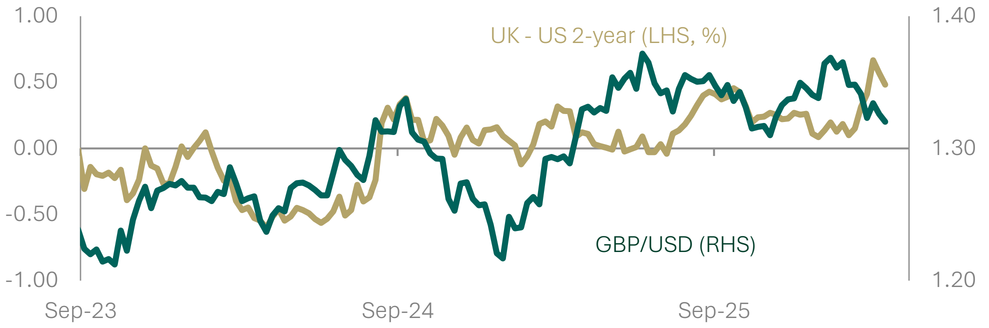



### The month ahead

Coming into April, GBP exchange rates have modest downside risks. GBP has not weakened to the same extent as other large energy importers (EUR & JPY), giving some pent-up depreciation risks. The catalyst for such a move could be further long-end yield rises, which are not necessarily GBP positive because they are driven by the supply side rather than increasing demand (growth). Higher GBP yields should act as a constraint on already stretched fiscal dynamics in the UK, and UK domestic political risk remains a latent risk.

The main event risk for GBP is the publication of March CPI data (22 April) and the publication of PMI data towards the end of the month. The next BoE meeting will take place in early May, giving time for markets to price in oil price impacts.

GBP UNDERPERFOMED SPREAD MOVES




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

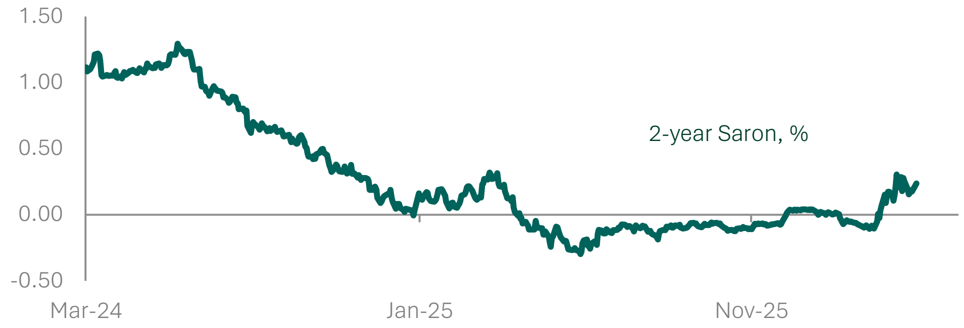
# USD/CHF: Markets move to price in rate hikes

## CHF weakness should be limited in the near term

### The month in review

In March, USD/CHF traded higher to levels of around 0.80. The up move reflected USD appreciation, and the deterioration in Swiss terms of trade (ToT), due to higher imported energy prices. This modest CHF weakness is entirely consistent with the effects of previous energy price shocks. The Swiss National Bank (SNB) maintained its deposit rate at 0.00%, as expected. The SNB noted that it stands ready to intervene in the FX market, if necessary. The OIS market moved to price in a full 25 bp rate hike by year-end, reflecting the impact of higher energy prices.

MARKETS PRICE IN SNB RATE HIKES, %

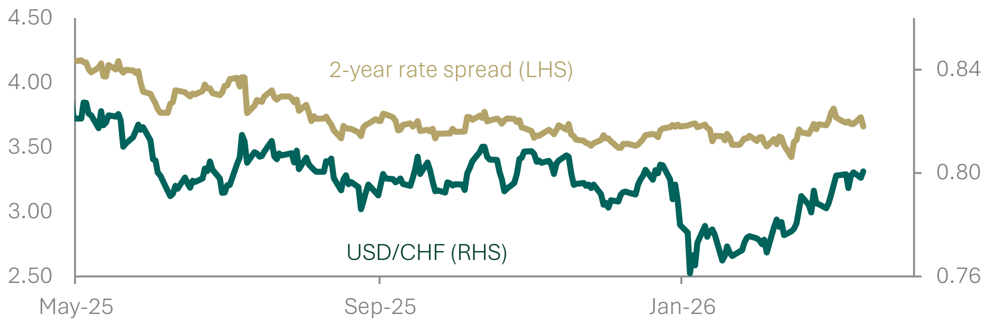



### The month ahead

Coming into April, USD/CHF should continue to trade at levels of around 0.80. The rise in market-based interest rate expectations mean that aggressive EUR/CHF upside is unlikely to manifest itself in the near term. On the contrary, longer-term EUR/CHF forwards remain skewed to the downside. The market is unlikely to trade on any theme of growth differentials, given the wider back drop of elevated geopolitical tensions and energy price shocks.

The SNB will not hold an MPC meeting in April, meaning that there are no significant monetary policy risks for CHF, barring an aggressive FX intervention from the SNB, which would be a short-lived affair to reduce CHF appreciation during a period of heightened risk aversion  rather than a longstanding FX intervention programme.

USD/CHF EDGED HIGHER WITH SPREADS, %




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

# AUD/USD: AUD is holding up well

## Rate spreads point to higher AUD/USD valuations

### The month in review

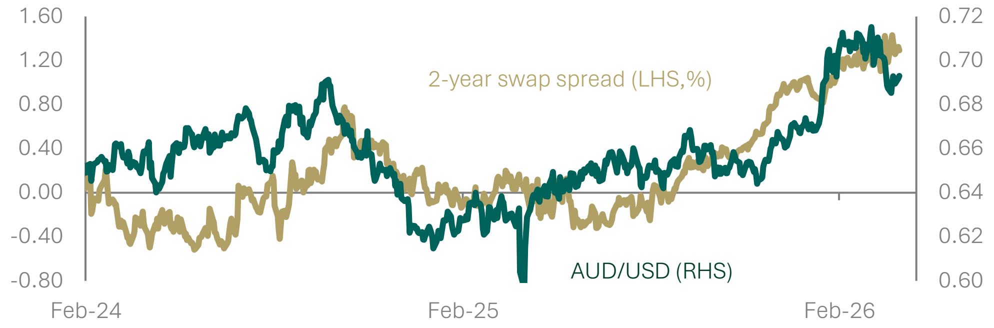
In March, AUD/USD traded slightly lower to levels of around 0.6840. The decline reflected USD appreciation and increasing risk aversion – which typically weighs on currencies with a high beta to global growth – such as AUD. The Reserve Bank of Australia (RBA) raised rates by 25 bps, taking the base rate to 4.10% - which was not anticipated. The OIS market moved to price in a further 65 bps in rate hikes over the remainder of the year, which would bring the terminal rate to 4.75%. The RBA's MPC meeting and statement was on the hawkish side, and the two-year spreads moved in favour of AUD, which did not benefit AUD to any significant extent.

### The month ahead

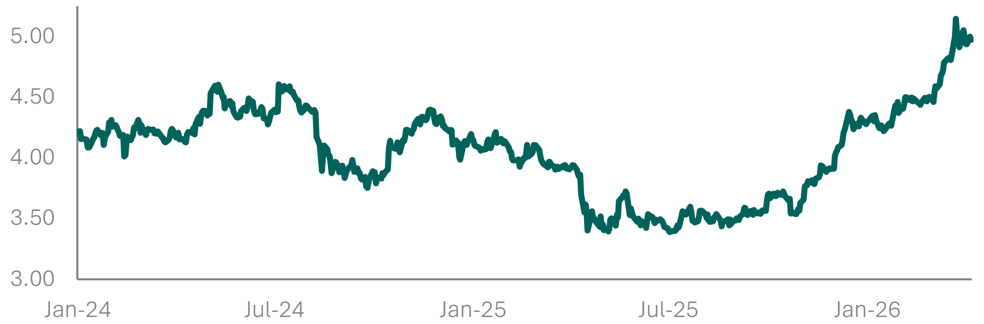
Coming into April, AUD/USD should trade around current levels of just below 0.70. The ongoing conflict in the Middle East is likely to weigh on risk sentiment, which should in turn act against AUD appreciation, despite favourable rate spread developments. The risk of higher inflation effects comes on top of an already elevated inflation backdrop, meaning that the RBA is likely to maintain a hawkish stance in the medium term.

The main data releases will be the publication of Q1 CPI data (29 April) and March employment data (16 April). AUD is likely to illustrate more sensitivity to employment trends, given that higher inflation outcomes are already expected due to recent oil price increases. Overall, AUD's typically high beta to global growth and equity performance should outweigh favourable terms of trade developments. Once there is greater clarity on the outcome of the conflict in the Middle East, there may be scope for AUD/USD rises towards levels well above 0.70, in line with spread developments.

AUD TRADES JUST BELOW SPREAD INDICATIONS




2 YR. SWAPS PRICE IN RBA RATE HIKES, %




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

# USD/CAD: More of the same – trading in the range

## CAD's beta to energy has declined

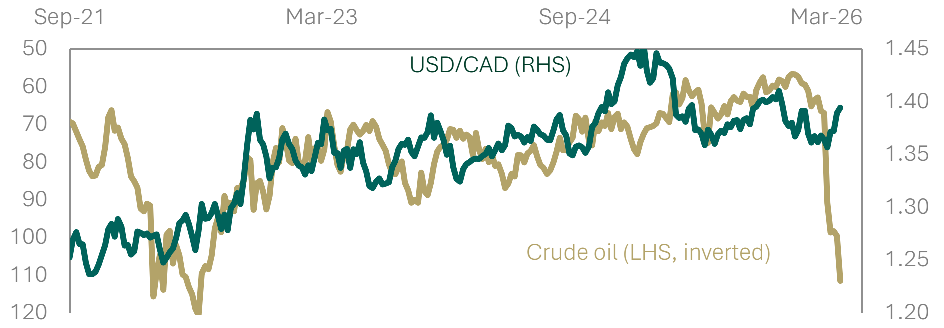
### The month in review

In March, USD/CAD traded higher from levels of around 1.36 to highs of just under 1.40. The up move reflected USD appreciation. CAD weakness is surprising given its status as an energy exporter – however, CAD illustrates a declining beta to energy prices since the mid-2010s, likely reflecting the energy sector's lower share in Canadian GDP data. The Bank of Canada (BoC) left rates on hold at 2.25% and its Minutes revealed that BoC believes that second round inflation effects should be limited, given that the economy is operating below potential (negative output gap). BoC noted that upward pressure on wages is less likely in a weak economy.

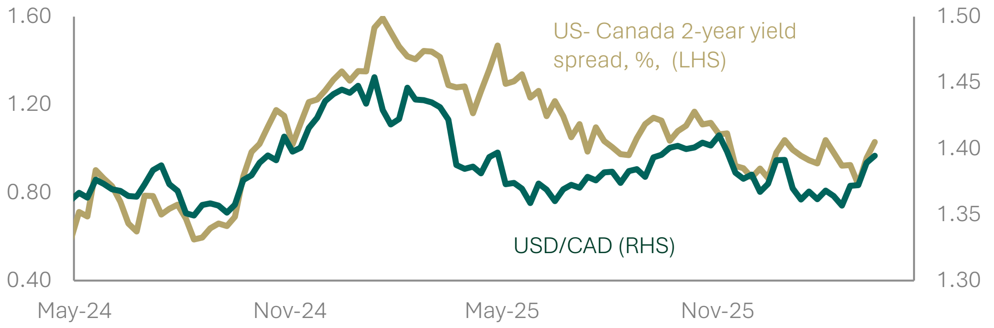
### The month ahead

Coming into April, USD/CAD should trade at levels of just below 1.40. Ongoing uncertainty regarding the conflict in the Middle East should prevent high beta currencies like CAD from outperforming, despite marginally positive terms of trade effects from higher oil prices. The main data releases will be the publication of Consumer Price Index (CP)I data for March, and BoC's 29 April meeting. The OIS market shows an expectation of only a 3% likelihood of a 25 bp rate hike at the MPC meeting, meaning that CAD is unlikely to rise on a rate spread move anytime soon.

CAD DID NOT BENEFIT FROM HIGHER OIL PRICES




CAD TRADES IN LINE WITH SPREADS




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

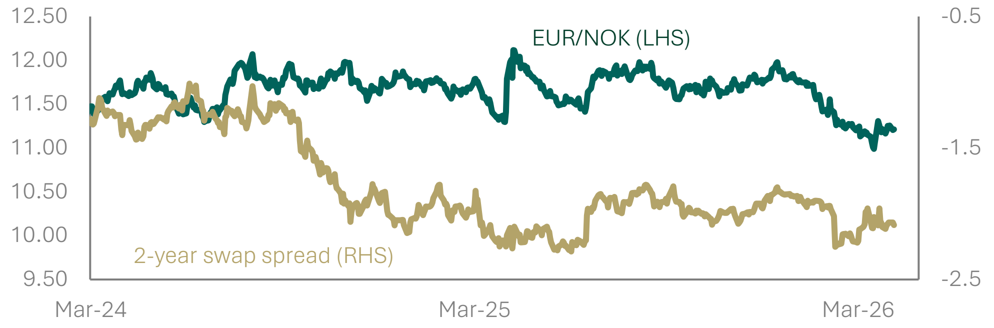
# EUR/NOK: More downside..

## Norges Bank may raise rates in the coming months

### The month in review

In March, EUR/NOK fell to levels of around 11.00. The decline reflected a massive improvement in NOK's terms of trade, due to energy price rises. Norges Bank maintained its deposit rate at 4.00% at its March MPC meeting. However, it raised the prospect of rate hikes in the coming months, and the OIS market moved to price in a terminal rate of 4.40% by September, implying more than one 25 bp rate hike from current levels. Headline and core inflation for February printed at 2.7% y/y and 3.0% y/y, respectively. This inflation profile is above Norges Bank's target, and this data came before the onset of the current energy crisis.

NOK TRADES WELL ABOVE SPREAD LEVELS




### The month ahead

Coming into April, our constructive stance on NOK remains intact. The prospect of a 'higher-for-longer' oil price scenario is clearly beneficial for NOK's terms of trade, and the prospect of higher Norges Bank rates means that NOK should maintain its status as the highest yielding currency in G10 over the medium term.

NOK could also benefit from an improvement in its current account dynamics, as short - term inflows towards domestic equity market bolster NOK valuations. NOK continues to screen as being undervalued, giving further room for appreciation in the near term. The key event risks over the coming month lie with the conflict in the Middle East. An early end to the conflict does not imply an immediate weakening in NOK, given still favourable rate spread developments.

MARKETS PRICE IN MORE THAN 75 BPS IN RATE HIKES, %


Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

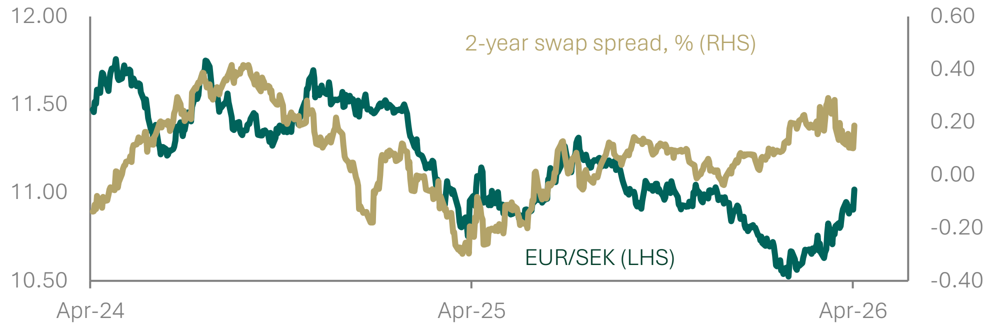
# EUR/SEK: Oil price shock is a short-term negative for SEK

## Constructive backdrop is being challenged

### The month in review

In March, EUR/SEK rose to levels of around 11.00. The up move reflected increasing risk aversion and energy price rises, which tend to affect oil importers like SEK to a greater extent. The Riksbank left its deposit rate on hold at 1.75% - as was widely expected. The OIS market has moved to price in just under 50 bps in rate hikes by year-end, with a 45% probability placed on 25 bp rate hike at the 7 May MPC meeting. Governor Thedeen noted that '*if the risks of spillover effects and persistently higher inflation increase, we may need to tighten monetary policy*'.

SEK HAS LIMITED APPRECIATION POTENTIAL

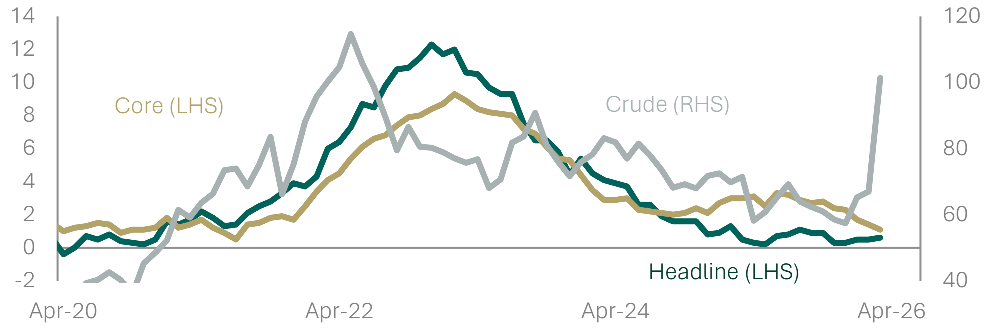



### The month ahead

Coming into April, EUR/SEK should trade at levels of around 11.00, with modest downside risks. The US-Iran ceasefire agreement means that aggressive upside risks are now unlikely to manifest themselves. Markets are likely to price out aggressive Riksbank rate hike expectations, which should prevent a more aggressive SEK rally. The impact of higher oil prices on Sweden's trade balance should not be underestimated, and this could be a drag on SEK performance over the coming months. This means investors could allow for a modest SEK relief rally, but not much more.

The Riksbank will not hold a meeting in April, so the outlook should be largely determined by the modest risk rally following the US-Iran ceasefire.

UPSIDE RISKS FOR SWEDISH INFLATION




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

# PLN: Further weakening potential

## NBP is comfortable with weaker PLN exchange rates

### The month in review

In March, EUR/PLN rose to highs of around 4.30. The up move reflected the deterioration in risk sentiment, due to the war in the Middle East. The National Bank of Poland (NBP) cut rates by 25 bps, taking the base rate to 3.75%. NBP signalled little angst about a weaker PLN exchange rate, which made sense given the decline in underlying inflation dynamics - core CPI printed at only 2.5% y/y, and headline CPI printed at 2.1% y/y. PLN weakness was on the lower end of what may have been expected given the deterioration in Polish terms of trade (energy prices rises etc.).

EUR/PLN HAS UPSIDE RISKS


### The month ahead

Coming into April, EUR/PLN may trade towards slightly higher levels. Markets continue to price in further NBP rate cuts in the coming months, and this means that rate spreads can move against PLN in the coming weeks. This could weigh on PLN, and the prospect of higher for longer oil prices means that Polish trade and current account balances have room to weaken from current levels. The upshot of this is that PLN's status as a moderate EM high yielder should come under threat, and consequently there is likely ample space for PLN to weaken further, with EUR/PLN having upside risks in the near term.

2-YEAR SWAPS ILLUSTRATE HIGH VOLATILITY, %


Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

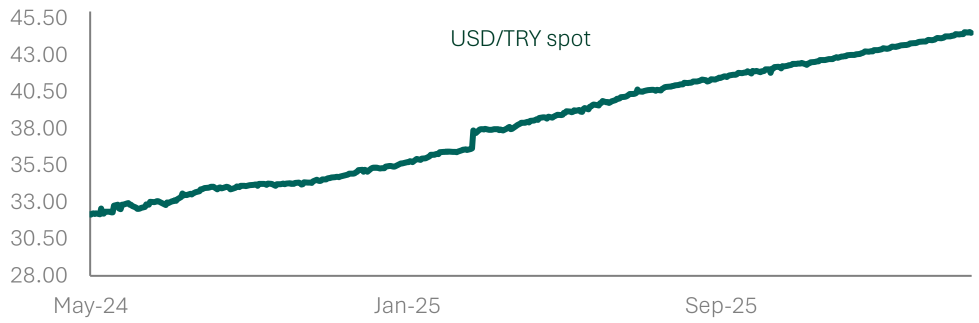
# TRY: CBRT is back to its old tricks

## Large gold swap transaction is a curious development

### The month in review

In March, USD/TRY rose to levels of above 44.50. The up move reflected USD appreciation, and higher oil prices. Higher energy prices always weigh on TRY, due to Turkey's large energy trade imports. The Turkish Central bank (CBRT) undertook a gold swap (selling spot and buying gold forward) to generate liquidity so that it could intervene in the market to stabilise the lira. Reports suggest that CBRT swapped around 58 tonnes of gold, equivalent to around USD 8 billion. CBRT maintained its one-week repo rate at 37%, as was widely expected. Headline and core inflation for March printed at 30.8% y/y and 29.70% year-on-year, respectively.

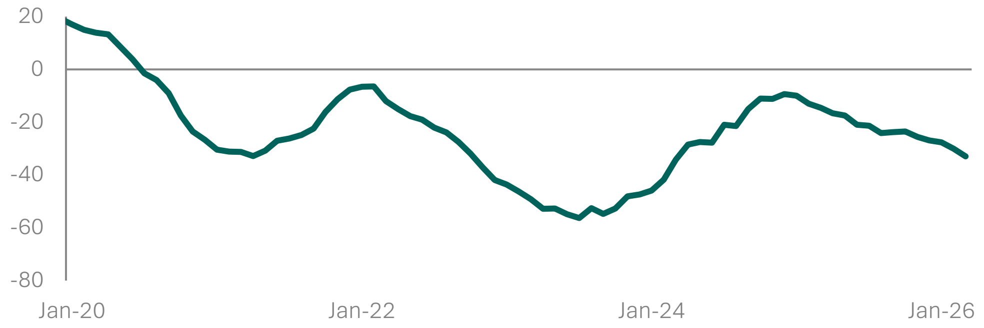
TRY CONTINUES TO WEAKEN




### The month ahead

Coming into April, ongoing upside risks for USD/TRY are likely. The prospect of a higher-for-longer oil price scenario is a negative development for TRY, because it should lead to a rapid deterioration in Turkey's trade and current account balance. CBRT rate hikes would likely not offset this in the near term, and with already highly positive real interest rates, it is questionable if further rate hikes would do much for TRY. This means that investors should be prepared for the possibility of a non-linear rise in USD/TRY spot rates from current levels.

TURKISH CURRENT ACCOUNT WEAKENED, $ BLN




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

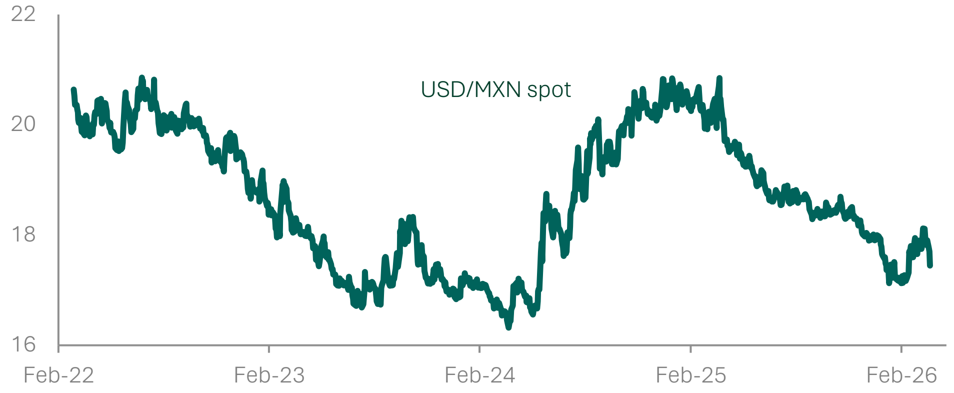
# MXN: Banxico is now on hold

## MXN to trade on the weak side in the short term

### The month in review

In March, USD/MXN rose to levels of around 18.15, close to the 200-day moving average. The up move reflected classic portfolio risk reduction, in line with the deterioration in risk sentiment following the outbreak of war in the Middle East. MXN was one of the weakest EM currencies. Headline CPI printed at 4.02% (February) and Banxico cut rates by 25 bps, taking its deposit rate to 6.75%. The rise in oil prices and weaker MXN exchange rate means that there are arguably fewer Banxico rate cuts remaining in the current cycle.

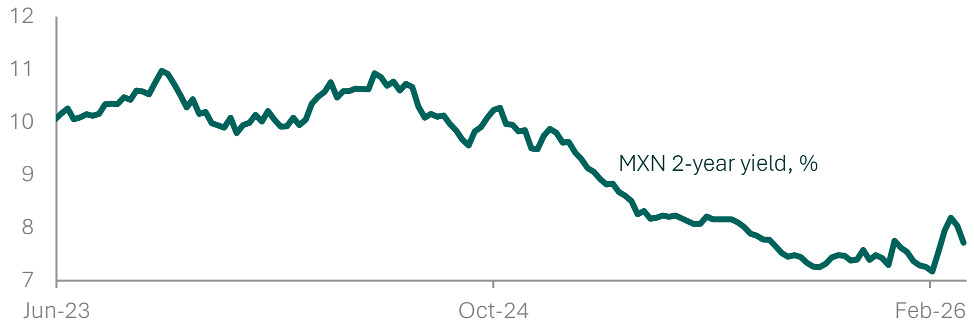
USD/MXN TRADES JUST UNDER 18.00




### The month ahead

Coming into April, USD/MXN should continue to trade at levels of 18.00. Two-year yields have risen to levels of around 7.75, pricing out the prospect of further Banxico rate cuts. Higher energy prices should not have a huge impact on MXN in the near term, given balanced import / export energy flows. The renegotiation of the USMCA agreement is likely to make more progress in April, and this is clearly beneficial for MXN, or at least it should limit the prospects of aggressive MXN weakness during the month. There is no Banxico meeting during April, so markets will mainly be driven by external developments.

BANXICO HAS LIKELY FINISHED ITS RATE CUTTING CYCLE




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

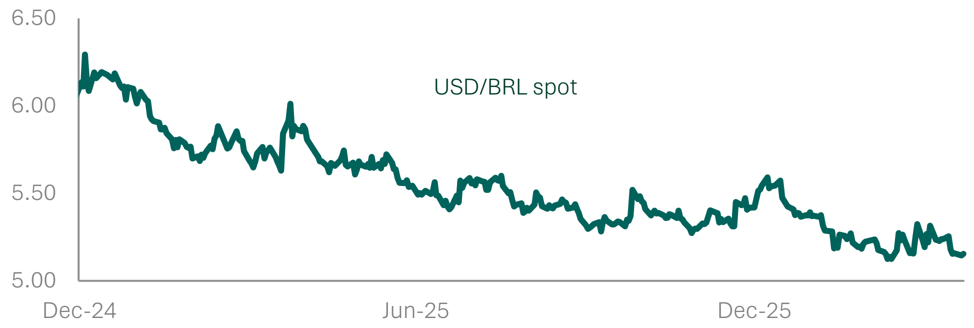
# BRL: BRL continues to set the pace in EM

## Higher oil prices are generally beneficial for BRL

### The month in review

In March, USD/BRL rose to highs of around 5.30. The up move reflected modest USD appreciation and portfolio risk reduction effects. Banco Central Do Brasil (BCB) reduced its Selic rate by 25 bps, taking it to 14.75%. The large rise in oil prices resulted in markets pricing out aggressive cuts by year-end. The two-year swaps have priced in another 75 bps in rate cuts. USD/BRL subsequently traded back to levels of around 5.15. BRL's terms of trade rose substantially in March, giving BRL a cushion compared to EM energy importers.

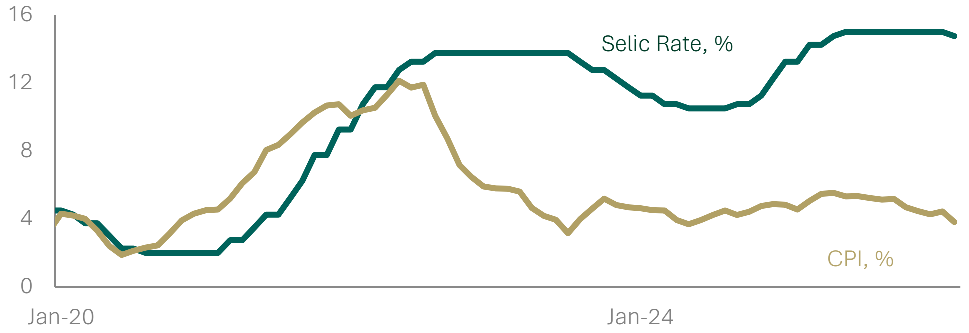
USD/BRL FELL BACK TOWARDS 5.15




### The month ahead

Coming into April, our constructive stance on BRL exchange rates remain intact. BRL's high carry and still hawkish BCB rhetoric mean that investors are unlikely to take short BRL positions in the near term. Higher oil prices are generally beneficial for Brazilian GDP and current account dynamics, meaning that there is no reason for BRL to weaken materially in the near term. Markets have not yet started to price in domestic political elections into the exchange rate, and this may become clearer over the summer months. In the meantime, there is likely little prospect of aggressive BRL weakness in the near term.

REAL SELIC RATES REMAIN IN HIGHLY POSITIVE TERRITORY, %




Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

# Our G10 and EM FX forecasts

## Forecast story: Higher energy prices to prevent aggressive EUR appreciation

| | EUR/USD | GBP/USD | EUR/GBP | USD/JPY | USD/CHF | EUR/CHF | USD/CNY | AUD/USD | NZD/USD | USD/CAD | EUR/SEK | EUR/NOK |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Jun - 26** | 1.16 | 1.32 | 0.88 | 158 | 0.78 | 0.91 | 6.80 | 0.72 | 0.59 | 1.40 | 11.00 | 10.80 |
| **Sep -26** | 1.18 | 1.34 | 0.88 | 156 | 0.77 | 0.91 | 6.75 | 0.73 | 0.60 | 1.38 | 10.80 | 10.80 |
| **Dec -26** | 1.20 | 1.33 | 0.90 | 154 | 0.75 | 0.90 | 6.70 | 0.74 | 0.62 | 1.36 | 10.60 | 10.60 |
| **Mar -27** | 1.20 | 1.33 | 0.90 | 150 | 0.74 | 0.89 | 6.65 | 0.76 | 0.64 | 1.36 | 10.20 | 10.40 |

| | USD/TRY | USD/ZAR | USD/RUB | USD/ILS | USD/MXN | USD/BRL | USD/INR | USD/KRW | USD/TWD | USD/HKD | USD/SGD |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Jun - 26** | 48.00 | 16.50 | 85 | 3.15 | 17.50 | 5.15 | 92.50 | 1450 | 30.50 | 7.85 | 1.27 |
| **Sep -26** | 50.00 | 16.65 | 85 | 3.20 | 17.25 | 5.25 | 93.00 | 1425 | 30.00 | 7.85 | 1.26 |
| **Dec -26** | 52.00 | 16.80 | 85 | 3.25 | 17.00 | 5.35 | 93.50 | 1400 | 30.00 | 7.85 | 1.25 |
| **Mar -27** | 54.00 | 17.00 | 85 | 3.25 | 16.75 | 5.50 | 94.00 | 1400 | 29.50 | 7.85 | 1.24 |

### Asian FX set for sustained gains

Asian currencies weakened considerably in March due to the impact of higher energy prices. The prospect of a ceasefire gives scope for short term appreciation pressure, particularly for the likes of CNY in the coming weeks and months.

Source(s): UBP, Bloomberg Professional L.P., as at April 2026

Past performance is not a guide to current or future results. Any forecast, projection or target, where provided, is indicative only and is not guaranteed in any way.

## Disclaimer

This document is a marketing communication containing **GENERAL INFORMATION** on financial services reflecting the sole opinion of Union Bancaire Privée, UBP SA and/or any entity of the UBP Group (hereinafter "UBP") as of the date of issue. It is not and does not purport to be considered as an offer nor a solicitation to enter into any transaction with UBP, buy, subscribe to, or sell any currency, product, or financial instrument, make any investment, or participate in any particular trading strategy in any jurisdiction where such an offer or solicitation would not be authorised, or to any person to whom it would be unlawful to make such an offer or solicitation. This document is meant only to provide a broad overview for discussion purposes, in order to determine clients' interest. It does not replace a prospectus, KID, KIID or any other legal document relating to any specific financial instrument, which may be obtained upon request free of charge from UBP or from the registered office of the issuer of the instrument concerned, where applicable. The opinions herein do not take into account individual clients' circumstances, objectives, or needs.

UBP performs analysis on the financial instruments based on market offer and may maintain and/or seek to develop business affiliations with third parties for that purpose; furthermore, UBP may create its own financial instruments. This generic information is therefore not independent from the proprietary interests of UBP or connected parties, which may conflict with the client's interests. UBP has policies governing cases of conflicts of interest and takes appropriate organisational measures to prevent potential conflicts of interest.

The information contained in this document is the result neither of financial analysis within the meaning of the Swiss Banking Association's "Directives on the Independence of Financial Research" nor of independent investment research as per the EU's regulation on MiFID provisions. EU regulation does not govern relationships entered into with UBP entities located outside the EU.

When providing investment advice or portfolio management services, UBP considers and assesses all relevant financial risks, including sustainability risks. Sustainability risks are defined by the EU's Sustainable Finance Disclosure Regulation (2019/2088) as "an environmental, social or governance event or condition that, if it occurs, could cause a negative material impact on the value of the investment". For further information on our sustainability risk management approach please visit [www.ubp.com].

Reasonable efforts have been made to ensure that the content of this document is based on objective information and data obtained from reliable sources. However, UBP cannot guarantee that the information contained herein and gathered by the Bank in good faith is accurate and complete, nor does it accept any liability for any loss or damage resulting from its use. Circumstances may change and affect the data collected and the opinions expressed at the time of publication. Therefore, information contained herein is subject to change at any time without prior notice. UBP makes no representations, provides no warranty and gives no undertaking, express or implied, regarding any of the information, projections or opinions contained herein nor does it accept any liability whatsoever for any errors, omissions or misstatements in the document. UBP does not undertake to update this document or to correct any inaccuracies which may have become apparent after its publication.

This document may refer to past performance which is not a guide to current or future results. All statements in this document, other than statements of past performance and historical fact, are "forward-looking statements". Forward-looking statements do not guarantee future performances.

The tax treatment of any investment depends on the client's individual circumstances and may be subject to change in the future. This document does not contain any tax advice issued by UBP and does not reflect the client's individual circumstances.

This document is confidential and is intended to be used only by the person to whom it was delivered. This document may not be reproduced, either in whole or in part. UBP specifically prohibits the redistribution of this document, in whole or in part, without its written permission and accepts no liability whatsoever for the actions of third parties in this respect. This document is not intended for distribution in the US and/or to US Persons or in jurisdictions where its distribution by UBP would be restricted.

**Switzerland**: UBP is authorised and regulated in Switzerland by the Swiss Financial Market Supervisory Authority (FINMA).

**UK**: UBP is authorised in the United Kingdom by the Prudential Regulation Authority, and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the Prudential Regulation Authority.

**Dubai**: This marketing material has been communicated by Union Bancaire Privée (Middle East) Limited, a company regulated by the Dubai Financial Services Authority ("DFSA"). It is intended for professional clients and/or market counterparties only and no other person should act upon it. The financial products or services to which this material relates will only be made available to a client who meets the professional client and/or market counterparty requirements. This information is provided for information purposes only. It is not to be construed as an offer to buy or sell, or a solicitation for an offer to buy or sell any financial instruments, or to participate in any particular trading strategy in any jurisdiction.

**Hong Kong**: UBP is a licensed bank regulated by the Hong Kong Monetary Authority (HKMA) and a registered institution regulated by the Securities and Futures Commission (SFC) for Type 1, 4 & 9 activities only in Hong Kong. The securities may only be offered or sold in Hong Kong by means of documents that (i) are addressed to "professional investors" within the meaning of the Securities and Futures Ordinance (Chapter 571 of the Laws of Hong Kong) and any rules made thereunder (the "SFO"); or (ii) are defined as "prospectuses" within the meaning of the Companies Ordinance (Chapter 32 of the Laws of Hong Kong) (the "CO") or constitute offers to the public within the meaning of the CO. Unless permitted to do so under the laws of Hong Kong, no person may issue or have in their possession for the purpose of issuing, whether in Hong Kong or elsewhere, any advertisement, invitation or document relating to the securities, directed at, or likely to be accessed or read by, the public in Hong Kong, except where the securities are intended to be disposed of only to persons outside Hong Kong, or only to "professional investors" within the meaning of the SFO.

**Singapore**: UBP is a bank regulated by the Monetary Authority of Singapore (MAS), is an exempt financial adviser under the Financial Advisers Act 2001 of Singapore to provide certain financial advisory services, and is exempt under section 99(1) of the Securities and Futures Act 2001 of Singapore to conduct certain regulated activities. This document has not been registered as a prospectus with the MAS. Accordingly, this document and any other document or material in connection with generic recommendations may not be circulated or distributed, whether directly or indirectly, to persons in Singapore other than (i) institutional investors; or (ii) accredited investors as defined under the Securities and Futures Act 2001 of Singapore. This advertisement has not been reviewed by the Monetary Authority of Singapore.

**Luxembourg**: UBP is registered by the Luxembourg supervisory authority the Commission de Surveillance du Secteur Financier (CSSF).

**Italy**: Union Bancaire Privée (Europe) S.A., Succursale di Milano, operates in Italy in accordance with the European passport – held by its parent company, Union Bancaire Privée (Europe) S.A. – which is valid across the entire European Union. The branch is therefore authorised to provide services and conduct business for which its parent company, Union Bancaire Privée (Europe) S.A., has been authorised in Luxembourg, where it is regulated by the Luxembourg financial supervisory authority, the Commission de Surveillance du Secteur Financier (CSSF)

**Monaco**: This document is not intended to constitute a public offering or a comparable solicitation under the Principality of Monaco's laws, but might be made available for information purposes to clients of Union Bancaire Privée, UBP SA, Monaco Branch, a regulated bank under the supervision of the Autorité de Contrôle Prudentiel et de Résolution (ACPR) for banking activities and under the supervision of the Commission de Contrôle des Activités Financières for financial activities.

**Jersey**: Union Bancaire Privée, UBP SA, Jersey Branch is regulated by the Jersey Financial Services Commission for the conduct of banking, funds and investment business. Union Bancaire Privée, UBP SA, Jersey Branch is a branch of Union Bancaire Privée, UBP SA, whose registered offices are at Rue du Rhône 96-98, P.O. Box 1320, 1211 Geneva 1, Switzerland, with its principal place of business in Jersey at 3 rd Floor, Lime Grove House, P.O. Box 526, St Helier, Jersey JE4 5UH.

**Portugal**: Union Bancaire Privée (Europe) S.A. Sucursal em Portugal is regulated by the Securities Market Commission (CMVM) and duly authorised by Banco de Portugal.

**South Africa**: UBP Investment Services (Pty) Ltd is an authorised financial services provider (FSP number 53152) in terms of section 8 of the Financial Advisory and Intermediary Services Act, 2002 (Act No. 37 of 2002) and conducts its activity under the supervision of the Financial Sector Conduct Authority.